US-Iran escalation remains basecase

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【メール原文】

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summary

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The US faces a window of only weeks to escalate meaningfully against Iran before munitions constraints and political pressures foreclose options.
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The renewed closure of the Strait of Hormuz, combined with El Niño and Black Sea disruptions, will likely push benchmark food commodity prices 10–18% above February 2026 levels by June 2027.
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A fourth Luiz Inacio Lula da Silva administration would likely bring near-term fiscal pragmatism, giving way to greater policy risk over time.
*
President Donald Trump will retain the final say on tariffs and sanctions if Senator Lindsey Graham's legacy bill targeting Russia and Iran passes.
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Regions, countries, and sectors covered in this edition include the US, Brazil, the EU, Iran, Japan, Peru, Russia, South Korea, agriculture, energy, climate, and resources.

the top line

Iran, US—Escalation remains basecase

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Escalation of the US-Iran conflict remains the base case at 55%. The US faces a window of only weeks to escalate meaningfully before munitions constraints and political pressures foreclose options.

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The US will likely launch a brief intense air campaign against nuclear and missile targets, with Iran targeting Gulf infrastructure in response and leaning on its Houthi and Iraqi allies to add pressure on regional energy trade.
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Re-opening the Strait of Hormuz through military action alone is unlikely, given the size, cost, time required, and the likely need for ground troops. Trump does not have the domestic political support or realistic window of opportunity for such an operation.

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The odds of de-escalation have risen from 15% to 25% driven primarily by Trump's public comments suggesting proximity to a deal and Omani diplomatic activity — not by any confirmed shift in either side's core positions.

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Read more here . Reach out to discuss: mena@eurasiagroup.net .

Agriculture—El Niño, fertilizer, and war pose renewed 2027 food price risks

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The first Hormuz closure did not trigger the broad food price shock expected in March as inventories, advance purchases, and strong harvests absorbed the disruption.

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The renewed closure, however, will combine with El Niño and Black Sea disruption to push benchmark food commodity prices 10–18% above February 2026 levels by June 2027.

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The commodity price surge will only partially pass through to consumers, as processing, distribution, labor, and retail margins account for the bulk of shelf prices—leaving retail food prices 1–2.5% higher than otherwise expected in advanced economies and 3–6% higher in vulnerable import-dependent markets by late 2027.

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Read more here and find our deck here . Reach out to discuss: sustainability@eurasiagroup.net .

Chart of the day—Fed: 3D chess or Wishy Warshy?

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Fed Chair Kevin Warsh got tighter financial conditions without a politically challenging hike. If his aim in his first two meetings as chair was to obtain higher rates while keeping the Fed out of Trump's crosshairs, that’s 3D chess. How long it works without an actual hike is the open question.

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Markets now price the first hike in December versus September before yesterday’s meeting. An October move, days before the midterms, would be politically challenging and with few historical precedents (see US midterms likely to shift expectations of Fed actions, 27 July).

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The market has been doing part of the tightening for the Fed. Long-dated bond yields now sit 10-20 basis points above the spring 2025 peaks that helped push Trump into his tariff climbdown.

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Reach out to discuss: geoeconomics@eurasiagroup.net .

Brazil—Lula 4.0 would bring modest fiscal overhaul with growing risks

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A fourth Lula administration would probably begin by adjusting spending rules to ensure compliance with the 2023 fiscal framework and potentially lower the current spending limit.
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Elements of the 2024 fiscal package that Lula rejected will likely reemerge, alongside a new round of tax changes targeting corporate income and payrolls.
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Fiscal slippage risks will grow over time as a politically weaker, legacy-focused president pursues income inequality measures and benefits to the middle class.
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Read more here . Reach out to discuss: brazilresearch@eurasiagroup.net .

US, Russia, Iran—Trump retains final say on tariffs, sanctions if Graham bill passes

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Senator Lindsey Graham's legacy Russia sanctions bill is well positioned to pass a final vote in the Senate but will face some opposition in the House in early fall from Democrats opposed to granting Trump new tariff authorities.
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The bill has three main components: a provision allowing the US to apply 100% tariffs to the top five purchasers of Russian oil and gas, codification of sanctions applied to Russian entities under executive orders, and expanded and formalized Iran sanctions.
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Codifying existing sanctions will make them potentially more difficult to eliminate completely in a scenario where a peace deal can be reached, though the administration will retain the ability to pause enforcement. The tariffs appear to be primarily a tool to threaten given the largest Russian energy purchasers would likely be China and India, both targets for US dealmaking.
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Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

upcoming conference calls

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30 July 9:30 AM ET—Brazil update. Register here .

eg in depth

Japan, South Korea, US—Tokyo pulling ahead of Seoul on US investments: Japan and South Korea have committed to large-scale investment frameworks with the US as part of their bilateral trade deals with the Trump administration. However they have since taken sharply different approaches to implementing their agreements. US Commerce Secretary Howard Lutnick is growing impatient with Korea amid slow legislative progress and a more confrontational approach toward negotiations. For Korea, the political risk of another blowup with Washington is growing. For now, the US is unlikely to raise tariffs against South Korea as long as negotiations continue in good faith. Commercial viability remains the core obstacle for Japan and Korea, though Japan's institutional response to the problem is more manageable. Shipbuilding and nuclear energy are the two sectors with the most at stake. Read more here . Reach out to discuss: japanresearch@eurasiagroup.net .

Energy, EU, US—EU and US will likely deepen policy support for grid tech: Policymakers in Brussels and Washington will expand efforts to encourage non-Chinese production of grid tech components—including inverters, transformers, and switchgear—where cyber vulnerabilities are highest. EU and US firms have an easier pathway to de-risk these cleantech segments from China than other parts of the electric stack like solar or batteries. New US restrictions on inverter imports will drive non-Chinese producers to expand US-based production, and the role of transformers in the data center buildout will also make them a priority in Washington. Read more here . Reach out to discuss: ecr@eurasiagroup.net .

Peru—El Niño and security threaten Fujimori's honeymoon period in Peru: President Keiko Fujimori will begin her term with enough congressional support to advance pro-investment policies, preserve the macroeconomic framework, and block impeachment efforts. An improved outlook for government stability under Fujimori, who will likely complete her five-year term, prompted EG's recent upgrade of Peru's short- and long-term political trajectories from neutral to positive (see note). However, responding effectively to El Niño and improving security will both be difficult challenges for the new administration, and both issues threaten her already fragile honeymoon period. An Ipsos poll showed that 39% of respondents view the administration with concern, while 37% are optimistic and 16% are indifferent. Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

Brazil—Polls likely to remain stable until campaign formally begins: Recent polls suggest stability with Lula appearing ahead across pollsters, but Senator Flavio Bolsonaro remaining competitive despite the negative news cycle. Polls are unlikely to change much until campaigns formally begin on 16 August, when increased media and debates will start to raise voter awareness. Right-wing candidates will likely start rising in polls by early September. EG still assesses a 30% likelihood of someone other than Bolsonaro reaching the runoff against Lula. Lula remains unlikely to secure a first-round win. Read more here . Reach out to discuss: brazilresearch@eurasiagroup.net .

Upcoming events:

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30 July: Events: Apple and Amazon earnings; Data: US GDP, consumer income, and PCE price index.
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31 July: Data: China manufacturing and non-manufacturing PMI, Eurozone CPI, Japan CPI, and US UMich consumer sentiment; Central bank decisions: Colombia and Japan.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, and Trista Kelley, with help from Astral Betteridge.

closing quip

We'll be hitting them hard. They're going to get a beating."—Trump said on Wednesday in retaliation against Iranian attacks on US forces.

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DailyBrief@eurasiagroup.net

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